SUMMARY

- Audit report is the statement containing the opinion of the auditor on the representations made by company management in financial statements and matters relevant to them.
- Title of the report, name of the addressee, introductory paragraph, scope, opinion, signature, place of signature and date of the report are the elements of Audit report.
- Clean report or unqualified report, Qualified report, Adverse or negative report and Disclaimer are the types of audit report.
- The auditor should study the conditions relating to issue of share capital in the Memorandum, Articles of Association, as well as Prospectus and see that these have been duly complied with.
- In case of shares issued for cash, there are three stages (a) Application Stage, where applications were received along with application money; (b) Allotment Stage, where allotment takes place subject to the receipt of minimum subscription; (c) Calls stage, where calls are made on shares and the amount due is received.
- Shares may also be issued for consideration other than cash. Vendors, promoters, underwriters, etc may be allotted shares instead of making payments to them.
- Share premium means the shares are issued at an amount in excess of the nominal value of shares. The auditor should see that the amount of share premium is utilized in the manner laid down in Section 52.
- According to section 53, a company shall not issue shares at a discount, except in the case of an issue of sweat equity shares given under section 54, of the Companies Act, 2013.

KEY TERMS

- **Public Company:** According to the Companies Act, 2013 "A Public company is a company which is not a private company and has a minimum paid up capital of 5 lakh rupees and have the right to transfer of shares of a company". The Public Limited company has "Ltd" at the end of its name.
- **Private Company:** According to the Companies Act, 2013 "A Private company is a company which has a minimum paid-up capital of 1 lakh rupees and which is restricted to have the right to transfer of share".The Private Limited company has "Pvt.Ltd" at the end of its name.
- **Authorised Capital:** The authorised capital of a company is the maximum amount of share capital for which shares can be issued by a company.

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